

Commentary on the Introduction

If you have built castles in the air, your work need not be lost; that is where they should be. Now put the foundations under them.

—Henry David Thoreau, *Walden*

Notice that Graham announces from the start that this book will not tell you how to beat the market. No truthful book can.

Instead, this book will teach you three powerful lessons:

- how you can minimize the odds of suffering irreversible losses;
- how you can maximize the chances of achieving sustainable gains;
- how you can control the self-defeating behavior that keeps most investors from reaching their full potential.

Back in the boom years of the late 1990s, when technology stocks seemed to be doubling in value every day, the notion that you could lose almost all your money seemed absurd. But, by the end of 2002, many of the dot-com and telecom stocks had lost 95% of their value or more. Once you lose 95% of your money, you have to gain 1,900% *just to get back to where*